

Coca-Cola

Beat 1Q24 on Sales and GM; Raised Organic Sales for FY24 Guidance, Leaving More “Fizz” for Positive EPS Surprises

The Coca-Cola Company (KO, Overweight-rated) reported 1Q24 comparable EPS of \$0.72, which beat JPMe/consensus \$0.70/\$0.70. Upside vs. our estimates was driven by stronger sales (+\$0.02 benefit vs. JPMe) and gross margin (also +\$0.02 vs. JPMe) which more than offset higher SG&A spending (-\$0.01 vs. JPMe). OSG of +11% (concentrate shipment basis) came in well ahead of JPMe/Consensus Metrix (CM) +4.9%/+6.4% or +14% on a unit case volume basis vs. JPMe/CM +7.0%/+7.1%. We note that KO disclosed that about six points out of the 13% price/mix expansion were “driven by pricing from markets experience intense inflation”. OSG was driven by +13% price/mix (vs. JPMe/CM +7.8%/+6.8%) and -2% concentrate shipments (vs. JPMe/CM -2.9%/-0.4%) due to the timing of shipments and the impact of one less selling day in the quarter. More importantly, unit case volumes (better management of demand) grew 1% (beating JPMe/CM -0.8%/+0.3%), driven by growth in Brazil, the Philippines and Nigeria. Gross margin of 62.3% expanded +135 bps YOY and positively surprised by a large amount +90/+120 bps ahead of JPMe/consensus 61.4%/61.1%. Operating expense ratio of 29.8% was 74 bps unfavorable YOY and compared to JPMe/consensus 29.4%/29.1%. See full details in Table 2.

KO updated its 2024 guidance. OSG Up but Offset by FX (see summary and table 1 comparing JPMe and Street):

- **OSG was raised to +8% to +9% from +6-7% before** (vs. JPMe/CM +7.0%/+6.9% into the print), adding “consists of operating performance at the high end of the company’s LT growth model [we note +4-6%] and the anticipated pricing impact of markets experiencing intense inflation.
- **Reiterated Comparable EPS growth of +4-5%** (vs. JPMe/consensus +4.9%/+4.4% into today), or implied about \$2.80-\$2.82 (vs. JPMe/consensus \$2.82/\$2.81 into the print).
- From an FX, **KO now expects a headwind of -4 to -5% to the top-line** worsening -2% to -3% before (vs. JPMe/CM -2.3%/-2.9% into the print) and to EPS of -7% and -8% including the impact of hedged positions. KO also continues to expect a -4% to -5% headwind to the top line and -2% to EPS from M&A.
- **Lowered effective tax rate to 19.0%** (from 19.2% before)
- **FCF was reiterated at \$9.2B** based on \$11.4B cash flow from operations and \$2.2B capex, not including any potential payments related to ongoing tax litigation with the IRS (no update).
- **For 2Q24**, FX is expected to be a 6% headwind to top line, added to -5-6% impact from M&A and structural changes and the impacts on EPS will be -8-9% and -2% respectively. See Table 1 for full guidance details.

See page 5 for analyst certification and important disclosures.

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Overweight

KO, KO US
Price (29 Apr 24):\$62.04

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- **Expected Stock Reaction: Positive.** While EPS guidance was reiterated (like with excess caution to geopolitical uncertainties and what management called a “dynamic backdrop”, we believe investors will be pleased with the underlying unit volume growth despite the pricing actions. **Performance was ahead of our bullish expectations ([here](#)) as a top pick into the quarter, and we think the stronger than anticipated start of the year from a top and gross margin perspective for 2024 should give investors more confidence on momentum to persist, and grow more conviction of KO as a earnings compounder.** We anticipate a positive tone at the earnings call but also some questions on consumer behavior in the U.S. in the context of cautious commentary by peer Pepsico (N-rated) about the low end consumer (albeit the U.S. represents only ~20% of KO’s volumes). We believe management will speak positively about other key EM (LatAm and India). We also expect questions on the ongoing tax litigation with the IRS.
- **Conference Call Details:** 8:30 AM ET; Dial-in: +1 (888) 415-4465 (U.S.) / +1 (646) 960-0140; Passcode: COKE IR

Table 1: KO's 2024 Guidance

Item	Current	Prior	JPMe	Consensus
2024 Guidance				
EPS				
Growth	+4-5%	+4-5%	4.9%	4.4%
Implied Range	~\$2.80-\$2.82	~\$2.80-\$2.82	\$2.82	\$2.81
Currency Impact	-7% to -8%	-4% to -5%		
Structural, Acquisitions, Divestitures	-2%	-2%		
Sales Growth				
Organic Growth	+8-9%	+6-7%	7.0%	6.9%
Currency Impact	-4% to -5%	-2% to -3%	-2.3%	-2.9%
Structural, Acquisitions, Divestitures	-4% to -5%	-4% to -5%	-4.3%	-4.6%
Other Items				
Underlying Tax Rate	19.0%	19.2%	19.2%	19.2%
Cash flow from operations	\$11.4B	\$11.4B	\$11.5B	\$11.8B
Net Capex	\$2.2B	\$2.2B	\$2.2B	\$2.1B
FCF	\$9.2B	\$9.2B	\$9.3B	\$9.7B
2Q24 Phasing Items				
Currency Impact				
Sales	-6%		-3.0%	-3.4%
EPS	-8% to -9%			
Structural, Acquisitions, Divestitures				
Sales	-5% to -6%		-5.1%	-5.2%
EPS	-2%			

Source: Company reports, Bloomberg Finance L.P., Consensus Metrix and J.P. Morgan estimates.

Table 2: KO 1Q24 vs. JPMe and Consensus

\$ m, except per share values

1Q24				
Income Statement	JPMe	Consensus	Actual	Upside/Downside vs. JPMe (%)
Net Sales	10,971	10,959	11,231	2.4%
Gross Profit	6,739	6,700	6,994	3.8%
Operating Income	3,516	3,514	3,643	3.6%
Interest, Net	153		142	-7.1%
Net Income	3,012	3,009	3,119	3.6%
Shares Outstanding	4,330		4,322	-0.2%
EPS	\$0.70	\$0.70	\$0.72	3.7%
EBITDA	3,789	3,834	3,905	3.1%
Income Statement	JPMe	Consensus	Actual	Upside/Downside vs. JPMe (%)
Sales Growth	0.1%	0.0%	2.5%	237
Gross Margin	61.4%	61.1%	62.3%	85
SG&A Margin	29.4%	29.1%	29.8%	46
Operating Profit Margin	32.0%	32.1%	32.4%	39
Tax Rate	19.2%		19.0%	-19

Source: Company reports, Bloomberg Finance L.P. and J.P. Morgan estimates.

Table 3: KO 1Q24 Organic Revenue* Performance by Division

1Q24	+/-/=				
Organic Sales	Actual	JPMc	Consensus	vs. JPMc	vs. Cons
Total Company	14.0%	7.0%	7.1%	698	690
Unit Case Volume	1.0%	-0.8%	0.3%	182	70
Price/Mix	13.0%	7.8%	6.8%	516	620
EMEA	24.0%	17.5%	13.5%	650	1050
Unit Case Volume	2.0%	-2.5%	-0.6%	450	260
Price/Mix	22.0%	20.0%	14.1%	200	790
Latin America	26.0%	14.0%	13.2%	1200	1280
Unit Case Volume	4.0%	2.0%	1.8%	200	220
Price/Mix	22.0%	12.0%	11.4%	1000	1060
North America	7.0%	2.0%	3.1%	500	390
Unit Case Volume	0.0%	-1.5%	-1.2%	150	120
Price/Mix	7.0%	3.5%	4.3%	350	270
Asia-Pacific	6.0%	1.0%	3.3%	500	270
Unit Case Volume	-2.0%	-3.0%	-0.7%	100	(130)
Price/Mix	8.0%	4.0%	4.0%	400	400
Global Ventures	0.0%	8.0%	6.9%	(800)	(690)
Unit Case Volume	1.0%	5.0%	3.9%	(400)	(290)
Price/Mix	-1.0%	3.0%	3.0%	(400)	(400)
BIG	-1.0%	5.0%	6.7%	(600)	(770)
Unit Case Volume	-7.0%	1.0%	2.6%	(800)	(960)
Price/Mix	6.0%	4.0%	4.1%	200	190

Source: Company reports, Consensus Metrix and J.P. Morgan estimates. *Organic Revenue based on unit case volume (rather than concentrate sales) and price/mix

Companies Discussed in This Report (all prices in this report as of market close on 29 April 2024, unless otherwise indicated)
Coca-Cola(KO/\$62.04/OW)

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Coca-Cola (KO, KO US) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Oct 03, 2011. All share prices are as of market close on the previous business day.

Date	Rating	Price (\$)	Price Target (\$)
21-Jul-21	N	55.83	59
12-Oct-21	N	54.23	60
28-Oct-21	N	55.52	59
13-Dec-21	OW	56.28	63
04-Feb-22	OW	61.61	64
10-Feb-22	OW	61.04	65
30-Mar-22	OW	62.16	68
22-Apr-22	OW	66.21	73
20-Jul-22	OW	62.53	70
21-Oct-22	OW	55.08	63
26-Oct-22	OW	58.95	64
17-Jan-23	OW	61.43	67
17-Apr-23	OW	63.05	68
14-Jul-23	OW	60.35	67
27-Jul-23	OW	63.05	71
16-Oct-23	OW	52.89	59
24-Oct-23	OW	54.08	62
31-Jan-24	OW	59.90	64
14-Feb-24	OW	59.35	66
19-Apr-24	OW	58.91	65

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